

The global push toward shareholder activism has not gone unnoticed within You, Inc., and the various stakeholders, such as children, spouse, and in-laws, will eventually push for a place in the corporate boardroom. You might be the largest single shareholder, but your family members are minority shareholders with protected rights. If anything should happen to jeopardize your lifespan or future productivity, they would suffer grave financial consequences. Prudent risk management dictates that you purchase a variety of insurance policies to protect your largest asset, as well as other investments, projects, and assets you couldn't afford to lose. Practically speaking, the median 30-year-old with \$600,000 to \$800,000 worth of future earnings would be well advised to buy a similar amount in life insurance.

As your life cycle continues, You, Inc. will likely have some spare cash, and you face difficult dividend-policy choices. A vocal (and likely teenaged) minority on the board might be pushing for big jumps in dividends. However, a savvy CEO will lean toward retaining the earnings because You, Inc. is likely saddled with severe credit constraints and needs to fund future growth.

Because You/Family, Inc. is not a publicly traded company, it can't tap the capital markets to finance new investment projects. After all, you have little in the way of hard assets to pledge as collateral until much later in the life cycle, and financial institutions tend to frown on purchasing shares in You, Inc. on account of slavery being illegal. That leaves you with the option of using internal cash (that is, personal savings) or the much costlier alternative of borrowing from the bank. For many, credit cards are the last (or at least most convenient) resort. But, with effective credit card interest rates being stratospheric, it's hard to find a use for that borrowed money that's worth the cost.

The preceding analogy might be pushing the limits of reality, but I believe the underlying idea, that you should think of yourself as a company and manage your financial affairs using similar techniques, leads to a number of practical insights and takeaways. Thinking like this can help you make better financial decisions. I will get to them later in this chapter and the book, but at this point I would like to go back to the first principles and ask, "What is You, Inc. worth?"